HAMILTON PROPERTY HOLDINGS LIMITED
and
MARTIN MURIMAMBEVA
versus
MONOLISER INVESTMENTS (PRIVATE) LIMITED
and
REGISTER OF DEEDS
and
SHAKESPEAR KARUWA
and
ABSOLOM MAGWERE N.O

HIGH COURT OF ZIMBABWE
MUSITHU J
HARARE, 13 July 2025 & 22 June 2026

Opposed application-condonation, rescission of default judgment and removal of bar

A.S. Ndlovu for the applicants
T. Vhudzijena for the first respondent

MUSITHU J:

[1] Before the court is a composite application for condonation and an extension of time to file an application for rescission of default judgment and the rescission of the default judgment in terms of rule 29(1)(a) of the High Court Rules, 2021 (the rules). The applicants sought condonation for the late filing of the rescission of the default judgment since the one-month period for filing such application had lapsed at the time the present application was filed.

Factual background

[2] The substantive relief sought by the applicants was for an order rescinding a default judgment that was granted against them on 17 October 2024 under case number HCH 3958/24. The background to the dispute dates back several years. On 9 June 2009, the first applicant entered into a written agreement of sale with the first respondent for the purchase of an immovable property, described as a certain piece of land situated in the District of Hurungwe, known as Lot 1 of Mvagazi, measuring approximately 1.3396 hectares and held under Deed of Transfer No. 5651/2003 (the property).

[3] According to the applicants, the purchase price for the property was agreed at US$30 000. The full purchase price was paid on 9 June 2009, being the same day on which the agreement of sale was concluded. The applicants averred that the receipt of the full purchase price was expressly acknowledged by the first respondent in clause 1 of the agreement of sale.

[4] The agreement further provided that the first respondent would sign and hand over all documents necessary to effect transfer of the property into the name of the first applicant. This obligation was to be performed on the same day that the agreement was signed. The agreement also provided that the first applicant would take vacant possession of the property after three months of its signing.

[5] Based on the documents supplied by the first respondent, the first applicant took transfer of the property following the execution of a deed of transfer on 5 November 2009, under D.T. No. 4661/2009. The first respondent had still not surrendered vacant possession of the property to the applicant, three months after the transfer of the property.

[6] The first applicant issued summons under HCH3258/22 for the eviction of persons in occupation of the property. The proceedings thereunder progressed up to the pre-trial conference stage. The delay in conclusion of the matter was because a director of the first applicant, one Frank Buyanga, was incarcerated in South Africa.

[7] In the meantime, the first respondent approached this court under HCH3958/24, seeking among other things the reversal of the transfer of the property into the first applicant's name. On 17 October 2024, the first respondent obtained a default judgment against the applicants in HCH 3958/24. The effect of that default judgment was to reverse the transfer of the property and cancel the title deed that had been issued in favour of the first applicant. It is that judgment which the applicants now seek to have rescinded. The operative part of that judgment reads as follows:

"1. The claim against the first, third, fourth and fifth defendants be and is hereby granted.
2. Deed of Transfer No 4661/2009 registered in favour of Hamilton Property Limited in respect of certain piece of land situate in the District of Urungwe called Lot 2 of Mvagazi measuring 8708 square metres dated 9th June 2009, in terms of Section 8(1) of Deeds Registries Act (Chapter 20:05) be and is hereby cancelled.
3. The Registrar of Deeds revives Plaintiff's Deed of Transfer Number 565/2008 in respect of certain piece of land situate in the District of Urungwe called Lot 1 of Mvagazi, measuring 43396 hectares and certain piece of land situate in the District of Urungwe called Lot 2 of Mvagazi, measuring 8708 square metres dated 12th February 2008 and make appropriate endorsements on the relevant Deeds and in the Registers in terms of Section 8(2) (a)and (b) of the Deeds Registries Act (Chapter 20:05).
4. The first, fourth and fifth Defendants pay costs of suit on a legal practitioner and client scale".

[8] The first applicant contends that the summons under HCH3958/24 was not properly served upon it. The applicants erstwhile legal practitioners were informed by the legal practitioners of the other defendants in HCH3958/24 of the default judgment on 31 October 2024. The second applicant was one of the defendants in that matter. Because of the incarceration of its director Frank Buyanga, the first applicant was unable to timeously approach its legal practitioners with instructions to rescind the default judgment. It only managed to do so in January 2025.

[9] According to the applicants, the application was made some two months out of time. The applicants averred that a delay of two months was not inordinate under the circumstances.

[10] The applicants averred that their prospects of success in the main matter were sound. The property was voluntarily sold to the first applicant by the first respondent, which now sought to renege on the agreement. It was also averred that judgment was snatched through litigating in bad faith.

[11] The default was explained off as follows. The agreement of sale listed Frank Buyanga's personal address as 19 Conald Road, Graniteside, Harare. Buyanga was an agent of the first applicant and signed the agreement on its behalf. That address referred to his personal property, and it was listed for convenience. He did not ordinarily reside at the said address. Buyanga was arrested in November 2022 and was incarcerated in a South African prison since then. The first respondent was therefore aware that there was nobody to accept service on behalf of Buyanga or the first applicant. The sheriff's return of service in HCH 3958/24 showed that process was 'served by affixing to outer principal door after unsuccessful diligent search'.

[12] It was also averred that the agreement of sale and documents before the court confirmed that there was indeed a sale of the property. The first respondent did not prove that the transaction was fraudulent. The first applicant could not lose its real rights under the circumstances. The balance of convenience therefore favoured that the parties be heard before such drastic action was taken.

[13] The second applicant also deposed to his own founding affidavit in which he averred that he was never served with the summons. The papers showed that service of process was effected at Mapaya and Associates on 13 September 2024. The law firm had however moved to its current location at 3 Daventry Road, Eastlea, Harare in January 2021, long before the first respondent's action proceedings were initiated.

[14] The second applicant denied that there was any act of fraud involved in the transfer of the property. He was the conveyancing clerk at Karuwa and Associates at the material time that the transaction was consummated. He was not a conveyancer. His responsibility was only to deliver documents on behalf of the registered conveyancers at the law firm.

The first respondent's case

[15] The opposing affidavit raised two preliminary points at the outset. The first was that of mootness. It was averred that the judgment sought to be rescinded had already been carried into effect. The second point was concerned with dirty hands. The applicants had not complied with the court order that they wanted rescinded. It required them to pay costs of suit on the legal practitioner and client scale and that had not been done.

[16] The first respondent dealt with the merits of the application as follows. It borrowed US$30,000.00 from the first applicant and handed over title deeds of its property as security. Before the first respondent had committed any breach, the applicants fraudulently connived with one Silas Mutimba, and the third and fourth respondents to transfer the property to the first applicant using a fake agreement of sale. The first applicant attached to its founding affidavit an agreement of sale in which the first respondent allegedly acknowledged receiving the purchase price of US$80,000.00. The applicant's founding affidavit referred to a purchase price of US$30,000.00. Further, the first respondent had no knowledge of Silas Mutimba and neither was he authorised to represent it.

[17] The first respondent also averred that the summons was properly served on the address given by the first applicant in the purported agreement of sale. It was also averred that the explanation given for the delay in filing the present application by 2 months was not reasonable. A company being a separate legal *persona,* could not be held at ransom because of the incarceration of its agent. The applicant had four directors who could all have taken appropriate action in the absence of Buyanga.

[18] The first respondent denied that the applicants had demonstrated an arguable case on the merits. The purported defence that the sum of US$30,000.00 was the purchase price yet the agreement of sale referred to a different figure of US$80,000.00 could not be construed to be a *bona fide* defence. It was also argued that the first applicant had no real rights to lose because it had no such rights from the outset.

[19] The first respondent also argued that no purchase price was agreed between the parties. The first applicant unjustly enriched itself by retaining the property without the parties having

agreed to any sale over a debt. The first applicant could not seek to recover its money in that fashion. Such an arrangement constituted a *pactum commissorium*.

The Submissions

[20] At the commencement of oral submissions, *Mr Vhudzijena* for the first respondent abandoned all the preliminary points raised in the opposing affidavit. These were concerned with the mootness of the matter and the alleged dirty hands caused by the applicants' failure to pay costs of suit. A new preliminary point was raised concerning the authority of the deponent to the first applicant's founding affidavit to depose to that affidavit on behalf of that party. The matter was postponed to allow the filing of a proper resolution, which was duly done.

[21] At the resumption of the hearing of the matter, *Mr Vhudzijena* raised another preliminary point concerning the applicants' failure to comply with r 20 of the rules which required them to file an appearance to defend within ten days of service of summons. Their failure to file an appearance to defend was the very reason why the first respondent had obtained default judgment. The applicants had not sought condonation for the removal of the bar occasioned by their failure to file an appearance to defend to the proceedings in HCH 3958/24. An application had to stand or fall on the founding affidavit.

[22] In response, Ms *Ndhlovu* for the applicants conceded the oversight but submitted that it was not fatal. She made an oral application for the removal of the bar as well as the amendment of the applicants' draft order through the insertion of paragraph 5 which would read that "The applicants be and are hereby allowed to file an appearance to defend in HCH 3958/24 within five days of this order."

[23] Ms *Ndhlovu* submitted that the amendment would regularise the position of the parties and give practical effect to any order of rescission granted by the court. It was submitted that the amendment would not alter the substance of the relief sought but would merely facilitate the proper prosecution of the matter on the merits.

[24] The procedure for the removal of a bar is set out in r 39(5) of the rules, and it states as follows:

> "(5) A party who has been barred may –
> (a) make a chamber application to remove the bar; or
> (b) make an oral application at the hearing, if any, of the action or suit concerned;
> and the judge or court may allow the application on such terms as to costs and otherwise as the judge or court, as the case may be, considers fit." (Underlining for emphasis)

[25] The procedure for the removal of a bar is flexible as it permits a party who has been barred to make an oral application for the removal of that bar even at the hearing of the matter. A court must be slow in shutting its doors to litigants by overly elevating the significance of preliminary points at the expense of resolving disputes on their merits. It is a hallowed principle of our jurisprudence that there must be finality to litigation. For that reason, courts must be more inclined to allow matters to proceed on the merits unless the preliminary points raised by a party have the effect of disposing the dispute to finality.

[26] It is also for that reason that r 39(5)(b) permits a party that has been barred to make an oral application at the hearing of the matter for the removal of that bar. The provision gives the court a wide discretion to allow such an application on such terms as considers fit in the interests of justice.

[27] It was not disputed that the applicants were in default for failing to file their appearance to defend timeously. It was for that reason that the first respondent obtained default judgment. A party who fails to file an appearance following the service of summons is automatically barred. The application before the court was one for condonation and extension of time to file an application for rescission of a default judgment. The applicants did not plead a case for the removal of the bar in respect of their failure to file an appearance to defend.

[28] At the hearing of the matter the applicants counsel applied for the removal of the bar as well as the amendment of the draft order to provide for the removal of the bar for their failure to file an appearance to defend timeously. From my reading of r 39(5)(b), nothing precludes a party from simultaneously making an oral application for the removal of a bar where there is already pending before the court, a composite application for condonation for the late filing of an application for rescission of the default judgment, and the rescission of that default judgment. It must be understood that the whole point of approaching the court for rescission of judgment is for the defaulting party to be granted leave to defend the main proceedings in which judgment was granted in default.

[29] The effect of rescinding a default judgment is to give leave to the applicant to defend the main proceedings in which the default judgment was granted. The reopening of the main matter will give the parties a chance to present their respective cases before the court and also enable the court to make a final and definitive decision on the merits of the substantive dispute between the parties, in keeping with the need to achieve finality in litigation.

[30] The court determines that the oral application for the removal of the bar for late filing of an appearance to defend and the proposed amendment to the draft order sufficiently cured the defect complained of. Rule 39(5)(b) endows this court with discretion in matters of this nature where a litigant approaches the court for an indulgence. The court finds no conceivable prejudice to the first respondent if the bar in respect of the failure to file an appearance to defend is removed.

Submissions on the merits

[31] *Ms Ndhlovu* for the applicants submitted that the legal principles governing condonation and rescission were well established. The court was required to consider all the relevant factors together and not in isolation. In support of this submission, the applicant relied on the case of *Chiweza & Anor v Mangwana & Ors* HH 186-17, where DUBE J (as she was then) stated that a strong case on the merits may compensate for a weak explanation for the delay, and *vice versa*. The court has a wide discretion which had to be exercised fairly and judicially.

[32] Regarding the explanation for the default, counsel alluded to the reasons already stated in the applicants' affidavits. There was no proper service of the summons on both applicants. There was no way the process could have come to the attention of the applicants considering the manner of its service. The court process was never deliberately ignored. The explanation was therefore reasonable, credible, and was not effectively challenged by the respondents.

[33] On the merits, the applicants contended that their prospects of success were sound. The first applicant purchased the property in question and paid US$30,000. The first respondent did not deny receiving payment. The respondents' claim that the payment was merely a loan was not supported by any evidence. There was no written acknowledgment of debt, repayment agreement, repayment schedule, or any other documentary proof pointing towards a loan obligation. The applicants argued that there was no factual basis on which the allegation that the payment constituted a loan could be sustained.

[34] The applicants also submitted that the allegations of fraud were serious and must be proved by clear and convincing evidence. Such allegations could not simply be accepted without a full hearing of the matter. The applicants argued that the cancellation of a title deed was a drastic remedy with significant consequences and could only occur after parties were heard on the merits.

[35] In response, *Mr Vhudzijena* for the first respondent argued that service of the court papers at the first applicant's chosen address was proper and legally valid. That undermined the first applicant's claims that the judgment was "snatched" and that it was unaware of the proceedings. Once proper service was established, the explanation for the default fell away.

[36] *Mr Vhudzijena* further argued that as a matter of law, where a party chose an address as its *domicilium citandi*, then any legal notice or court process delivered to that address was regarded as properly served. The party that selected the address was deemed to have received the document, whether it came to that party's attention or not. If there was any change of address, it was the responsibility of that party to notify the other contracting party. In support of this proposition, the counsel relied on the case of *Muzanenhamo* v *Fishtown Investments (Pvt) Ltd & 3Ors*[1], in which that point was reaffirmed.

[37] On prospects of success, it was submitted that the applicants had no viable defence. Reference was made to paragraph 37 of the opposing affidavit, where it was alleged that the transfer of the property was made without a Capital Gains Tax (CGT) certificate. According to the first respondent, this allegation was not disputed by the applicants in their answering affidavits. Averments which were not disputed in an affidavit were taken to be admitted.

[38] It was also submitted that the transfer of the property was unlawful because it was completed without the required CGT certificate. The transfer of the property was therefore a nullity from the outset. A transaction that was void in law could not be validated through rescission of a default judgment because no legal rights could arise from a nullity.

[39] On the issue of prejudice, it was argued that the first applicant would suffer no prejudice if the application was dismissed. The title deed relied upon by the first applicant was obtained through an irregular and unlawful process. Since no rights could arise from an illegal transaction, the first applicant could not claim prejudice from losing a title that was invalidly acquired.

Analysis of the merits

[40] An application for condonation serves as a procedural request for the court's indulgence to excuse non-compliance with the prescribed provisions in the rules of court. An applicant carries the burden of establishing good cause, which entails providing a reasonable and credible explanation for the delay or non-compliance. This explanation must demonstrate that the non-compliance was not due to the wilful disregard of the rules and that the extent of the

[1] SC 8/17 at p 10 of the judgment

delay or non-compliance was not inordinate. The factors to be considered by the Court were outlined by BHUNU JA in *Mtize v Damafalls Investment (Pvt) Ltd & Anor*[2] where he stated as follows:

> "The requirements for the application of this nature to succeed are well known as outlined in the case of *Kombayi v Berkout* 1988 (1) ZLR 53 (S). These are:
>
> 1. The extent of the delay;
> 2. The reasonableness of the explanation for the delay; and
> 3. The prospects of success on appeal."

[41] Although the above views were expressed in the context of an application for condonation and extension of time within which to note an appeal, they apply with equal persuasion in applications of this nature. The factors are interrelated and none is decisive on its own. The court exercises a judicial discretion after considering all the circumstances of the case.

[42] The first respondent disputed the applicants' explanation for the default insisting that process was served properly at the chosen *domicilium.* While service may have *prima facie* complied with the rules of court, that is not the end of the enquiry. The issue was whether the applicants provided a reasonable explanation for their failure to enter appearance to defend and the subsequent delay in instituting the current proceedings. The explanation tendered cannot be dismissed outrightly as a demonstration of wilful default.

[43] The explanation was plausible and *bona fide*. It was not disputed that Frank Buyanga who signed the agreement of sale on behalf of the first applicant was in prison at the time that proceedings were initiated. As for the second applicant, the law firm in which he was employed had long moved away from the premises where service was effected. The delay in filing the present application was not too inordinate as to be unreasonable. Once the applicants became aware of the default judgment, they took steps to have it challenged.

[44] The applicants' prospects of success in the main matter cannot be dismissed as being fanciful. This court must be mindful not to excessively stray and attempt to delve into the matters that must remain the domain of the trial court. The dispute raises material disputes of fact which must be resolved by a trial court. There is a signed agreement of sale of the property and the first respondent as one of the parties. The first respondent dismissed the agreement as a sham because it referred to a purchase price of US$80,000.00, yet in its founding affidavit, the first applicant referred to a purchase price of US$30,000.00. The first

[2] SC 21/18

respondent admitted that it borrowed US$30,000.00 from the first applicant. The nature of the agreement between the parties in the context of the loan that the first respondent admitted having received from the first applicant requires further interrogation.

[45] The first respondent made allegations of fraud against the applicants and insisted that the funds it received from the first applicant were a loan and not the purchase price of the property. The applicants argued on the other hand that there was a valid sale and lawful transfer of the property. There are irreconcilable disputes of fact which cannot be resolved on the papers. The cancellation of registered title is an extraordinary remedy. It affects real rights in immovable property and should ordinarily occur after all affected parties have been heard. Registration of title remains *prima facie* proof of ownership. See *Matewa v City of Harare*[3].

[46] In the case of *Oakland Nominees (Pty) Ltd v Gelria Mining & Investment Co. (Pty) Ltd*[4] the court made the following pertinent observations:

> "Our law jealously protects the right of ownership and the correlative right of the owner in regard to his property, unless, of course, the possessor has some enforceable right against the owner."

[47] Based on the foregoing, this court cannot conclusively resolve the issue of ownership of the property at this stage without having heard the full story which gave rise to the transaction between the parties. The first respondent made serious allegations of fraud against the applicants, which include absence of authority on the part of one Silas Matimba who purportedly acted on its behalf in transferring the property, *pactum commissorium* and the irregular transfer of the property. The allegations are also criminal in nature and likely to attract heavy criminal sanctions if proven in a criminal court. Such allegations require the adducing of *viva voce* evidence if they are to be proved. That cannot be done at this stage of the proceedings.

[48] The factors to be considered in an application for rescission of judgment are well settled. These were listed in the case of *Stockil* v *Griffiths*[5] as follows:

i) the reasonableness of the applicant's explanation for default;
ii) the *bona fides* of the application to rescind the judgment; and
iii) the *bona fides* of the defence on the merits of the case which carries some prospects of success.

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[3] SC 61/23 at page 9
[4] 1976 (1) SA 441 (A) at p 452
[5] 1992 (1) ZLR 172 (SC)

[49] If condonation and rescission are refused, the applicants will suffer substantial prejudice. They will be permanently denied the opportunity to challenge a judgment that resulted in the cancellation of a registered title deed without them being heard on the merits. Such an outcome is grievous, particularly because the dispute concerned valuable immovable property and competing claims of ownership. The effect of refusing the application would be that the applicants would lose the chance to place their version before the court and have the matter determined after all relevant evidence and arguments have been considered.

[50] No conceivable prejudice would be suffered by the first respondent if the application is granted. The matter will proceed to a full hearing. The dispute will be fully ventilated at the trial, with the trial court having the chance to render a determination after hearing all the evidence from interested parties. The interests of justice weigh heavily in favour of granting the relief sought.

Costs of suit

[51] This application is an offshoot of the main proceedings under case number HCH3958/24. The effect of granting the relief sought herein is that it will enable the parties to pursue the main matter under HCH 3958/24. It is only proper that costs of suit herein be made to be in the cause in the main matter.

Resultantly, it is ordered that:

1. The first and second applicants be and are hereby condoned for the late filing of an application for rescission of default judgment.
2. The application for rescission of the default judgment be and is hereby granted, and the default judgment granted in default of the first and second applicants in case number HCH 3958/24 on the 17 October 2024 be and is hereby set aside.
3. The bar operating against the first and second applicants for the late filing of their appearance to defend in HCH 3958/24 is hereby lifted and the first and second applicants shall file their appearance to defend in HCH 3958/24 within five days of this order.
4. The matter shall thereafter proceed in accordance with the rules of this court.
5. Costs shall be in the cause in HCH 3958/24.

MUSITHU J……

Nyawo Ruzive Legal Practice, first and second applicants' legal practitioners
Mtetwa and Nyambirai, first respondent's legal practitioners